

Sanctions Screening Standard

Reference SCR-2026-A. Owner: Compliance Desk. Effective 2026-11-01. This standard defines how Meridian Financial screens transactions and client relationships against its consolidated watchlist. It implements the screening obligations referenced by AML-2024-B section 3 and applies to every product line: Kestrel settlement flows, Tern FX, and Sunbird.

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1 The Osprey list

Meridian maintains one consolidated sanctions and adverse-media watchlist, the Osprey list. It merges EAPC designations, applicable international sanctions programmes, and Meridian's own exit list.

- Refresh cadence: daily at 04:00 EAT, before the prime settlement window opens.
- A failed refresh raises a SEV-2 under BCP-2026-M; screening continues on the previous day's list, flagged as stale in every hit record.
- List versions are retained in Halcyon for seven years alongside the transactions they screened.

2 Screening thresholds

All transactions are screened. The response to a hit depends on value and match strength.

Rule	Condition	Action
SCR-10	Hit, below 1,000,000 KES-eq, weak match	Auto-clear with audit record; sampled weekly by Compliance
SCR-11	Hit, at or above 1,000,000 KES-eq, any strength	Hold transaction; manual review required
SCR-12	Strong match, any value	Hold transaction; manual review plus EDD on the client
SCR-13	Confirmed designation match	Freeze; escalate to the Money Laundering Reporting Officer; SAR within 24 hours

A transaction held under SCR-11 or above must not be released while review is pending, regardless of client pressure or settlement deadlines. A held Kestrel instruction that would miss its settlement window is rejected back to the participant rather than released unscreened.

3 Manual review

Manual review is the human disposition of held transactions. It is a compliance function: Payments Operations may observe queue depth but never disposition a hold.

3.1 Review SLA

Manual reviews under SCR-11 complete within 6 business hours of the hold. Reviews under SCR-12 complete within 2 business days because they include enhanced due diligence. The review queue is worked oldest-first; VIP queues are prohibited.

3.2 Four-eyes rule

No analyst may clear their own escalation. Every SCR-12 and SCR-13 disposition requires a second reviewer from a different team, recorded in Halcyon with both reviewer identifiers.

4 Escalation matrix

Level	Trigger	Escalate to	Clock
E1	SCR-11 unresolved past its 6-business-hour SLA	Compliance duty manager	Immediately on breach
E2	SCR-12 EDD uncovers material new risk	Head of Compliance	Same business day
E3	SCR-13 confirmed match	Money Laundering Reporting Officer	Within 1 hour of confirmation
E4	Screening pipeline outage or stale-list operation beyond 24 hours	Chief Risk Officer via BCP-2026-M channel	Immediately

5 Enhanced due diligence (EDD)

EDD applies to clients triggered by SCR-12, to all tier-1 institutional clients at onboarding, and to any client whose transaction pattern deviates from its declared profile by the thresholds in AML-2024-B. EDD refreshes at minimum annually for high-risk clients and every three years otherwise.

6 Product-specific rules

6.1 Kestrel

Screening runs before an instruction reaches the Vireo settlement queue. A hold returns participant-facing code KSN-ERR-451 so member institutions can distinguish compliance holds from technical faults. Participants are never told which rule (SCR-10 through SCR-13) fired.

6.2 Tern FX and Sunbird

Tern FX screens at trade capture and again at settlement if more than one business day elapses. Sunbird screens wallet-to-wallet transfers above 100,000 KES and every merchant settlement batch regardless of value.

7 Records and audit

Every screening decision — automated or manual — writes an immutable record to Halcyon: list version, rule fired, disposition, reviewers. Records are retained seven years and are available to Internal Audit under the dual-authorization rule in KSN-2027-A section 6. Screening statistics are reported monthly to the EAPC as part of the KSN-STAT pack.

8 Training

Client-facing staff complete Osprey screening training at onboarding (within the first week, alongside the security training in HR-2025-A) and refresh annually. Analysts working the SCR-11 queue additionally complete the four-eyes certification before their first solo shift.

9 Screening pipeline

The pipeline is four stages, each writing its own Halcyon record so a disposition can be replayed end to end during audit.

Stage	Function	Failure behavior
Ingest	Receives the transaction from the product system (Kestrel pre-queue, Tern capture, Sunbird transfer)	Product system retries; transaction never skips screening
Normalize	Name and identifier normalization, transliteration, alias expansion	Falls back to raw-string matching, flagged degraded
Match	Fuzzy match against the active Osprey list version	Stale-list operation per section 1; SEV-2 raised
Disposition	Applies rules SCR-10 through SCR-13	Fails closed: unmatched dispositions hold as SCR-11

The fail-closed rule in the disposition stage is deliberate: a screening outage must never release transactions unscreened, even at the cost of missed settlement windows. This mirrors the held-instruction rule in section 2.

10 False-positive management

The match stage targets a false-positive rate below 4% of screened volume; the 2026 average was 2.7%. Two controls keep the rate down without weakening screening:

- Client allowlisting: a client repeatedly weak-matched to the same list entry may be allowlisted against that entry only, by a four-eyes decision, reviewed every six months. Allowlist entries are code AL-OSP and live in Halcyon.
- Match-rule tuning: threshold changes are tested against the previous full quarter of traffic in the sandbox before deployment, and every tuning change is itself an auditable SCR-2026-A change record.

Allowlisting never applies to SCR-13 confirmed-designation logic, and no allowlist entry survives a change of the underlying list entry: any update to the matched Osprey record voids dependent AL-OSP entries automatically.

11 List governance

The Osprey list has three source classes: EAPC designations (ingested verbatim, never edited), applicable international programmes (mapped by the list team), and Meridian's own exit list (clients exited for cause). Additions to the exit list require Head of Compliance approval; removals additionally require the four-eyes rule with one reviewer from Legal. Every list version is immutable once published — corrections produce a new version at the next 04:00 EAT refresh, or an emergency intraday version for SCR-13-relevant corrections.

Appendix A - Worked dispositions

Four anonymized 2026 cases, illustrating the rule boundaries.

Case	Facts	Rule fired	Outcome
A	820,000 KES-eq Kestrel instruction, weak alias match	SCR-10	Auto-cleared with audit record; picked up in weekly sampling, clearance confirmed

Case	Facts	Rule fired	Outcome
B	1,150,000 KES-eq Tern FX forward, weak match	SCR-11	Held 4.5 business hours; released after manual review found a birthdate mismatch
C	310,000 KES-eq Sunbird transfer, strong match	SCR-12	Held; EDD opened; client relationship exited; entry added to the exit list
D	2,400,000 KES-eq Kestrel instruction, confirmed designation	SCR-13	Frozen; MLRO notified in 40 minutes; SAR filed same day

Appendix B - EAPC monthly report fields

Screening statistics reported to the EAPC inside the KSN-STAT pack. Counts only; no client-identifying data leaves Meridian in this report.

Field	Definition
screened_total	All transactions screened in the period
hits_total	Transactions with at least one match above noise threshold
auto_cleared	SCR-10 dispositions
manual_reviewed	SCR-11 and SCR-12 dispositions
frozen	SCR-13 dispositions
sar_filed	SARs filed from screening in the period
sla_breaches	Reviews exceeding the section 3.1 SLAs
stale_list_minutes	Minutes operated on a stale Osprey list

Revision history

Version	Date	Change
1.0	2025-06-01	Initial standard (SCR-2025-A), weekly list refresh
2.0	2026-11-01	Current edition: daily 04:00 EAT Osprey refresh, rules SCR-10 to SCR-13, fail-closed disposition
2.1	2027-04-12	Appendix B aligned to revised EAPC reporting fields